

the performance. That's clear in bull markets, but bear markets muddle the numbers.

Pullbacks. A pullback occurs between 60% and 67% of the time, on average. During the average pullback, price drops 5% to 9% below the breakout in 6 days before returning to (or coming close to) the breakout price for a round-trip of 12 days.

When a pullback occurs, performance suffers. You can see the effect in the table. Look for nearby support zones—regions that might repel the downward move before taking a position in the stock.

Table 22.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	98 or 18%	34 or 9%
10	122 or 40%	48 or 21%
15	67 or 52%	47 or 33%
20	80 or 66%	38 or 43%
25	51 or 75%	58 or 58%
30	42 or 83%	46 or 70%
35	34 or 89%	37 or 79%
50	51 or 98%	65 or 96%
75	11 or 100%	14 or 100%
Over 75	0 or 100%	1 or 100%